

Researchers have asked similar questions. They've sought to understand the role family and our socio-economic environment play in affecting our finances.

A 2019 paper by Sandra Black, Paul Devereux, Petter Lundborg and Kaveh Majlesi called 'Poor Little Rich Kids? The role of nature versus nurture in wealth and other economic outcomes and behaviors' recognised that there is a direct connection between the wealth of parents and the wealth of their children. However, what wasn't known was whether the connection was the result of nature, nurture or environment.

In order to discover the root of this connection, researchers compared financial outcomes between biological children and adopted children in wealthy families in Sweden. The researchers found 'there is a substantial role for environment in the transmission of wealth and a much smaller role for pre-birth factors. And while human capital linkages between parents and children appear to have stronger biological than environmental roots, earnings and income are, if anything, more environmental'.

In other words, there is a link between wealthy parents and wealthy children, but it has more to do with environment than genetics.

Overall, the results of the study suggested what many of us not born in wealthy areas have long suspected—'that the children with wealthy, high-consuming parents ... benefit from growing up with more advantages.'

As wealth and resources become more unequally distributed, opportunities also become unequally accessible. This is not because those wealthy families are inherently any more talented than poorer families, but rather, as the researchers discovered, 'wealth begets wealth'.

Sweden is a relatively egalitarian society, which does make me presume that the same findings would be true for most western societies including the United States, the United Kingdom and Australia where I live. While we can (and we should) advocate, as a result of this research, that our governments provide better policies for poorer socio-economic neighbourhoods, what does it mean for those of us who have already reached adulthood? Or who are currently living in poorer socio-economic environments? That leads us to research that has discovered some children from poorer socio-economic environments will excel financially despite their disadvantaged environments. In a 2018 paper by Chelsea Cheang